

Hyundai Mobis (012330)

2 September 2026

Auto / Robotics

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First to monetize Atlas

Core business recovery intact

Parts/modules will face continued cost pressures from rising memory semiconductor and PCB/CCL prices. Memory-related costs should increase by W200bn in 2026. However, cost hikes will be gradually offset in 2H through client price adjustments and an expanding high-value product mix.

Actuator supply secured, additional parts optional

Hyundai Motor Group started RMAC operations in the US, planning a 10x facility expansion by year-end. By 2028, it aims for a 30,000-unit annual robot production system, deploying Atlas to HMGMA's parts sequencing before expanding to final assembly in 2030.

The firm secured sole supply for 31 actuators per Boston Dynamics robot. At 31 body actuators per Atlas and \$800-\$1,100 mass-production unit price, per-robot revenue reaches ~W35mn-W50mn.

Potential revenue from the planned US actuator plant is W250bn-W400bn. At 30,000 Atlas units, related revenue expands to W1.1tn-W1.5tn. Scale grows further including A/S and grippers.

Buy maintained, TP W750,000

We present Hyundai Mobis as our Top Pick in Korea's Physical AI value chain. While Hyundai AutoEver gains as Atlas scales from process tests to factory rollout and Hyundai Motor and Kia secure long-term cost cuts, Hyundai Mobis gains fastest, with robot parts revenue starting in 2027. Trading at 9.1x 12M Fwd P/E, shares are undervalued. Strong HW positioning in the Group robotics business warrants a premium over legacy suppliers.

Buy (maintain)

Target Price (-)	₩ 750,000
Current Price	₩ 443,500
Upside	69.1 %

RELATIVE TO CONSENSUS

Above	In-line	Below

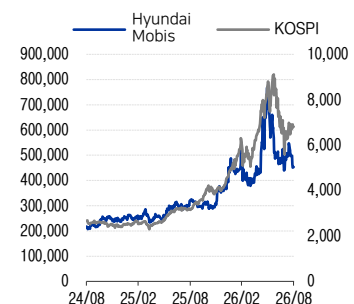
SHARE PROFILE

KOSPI (01-Sep)	6,835.80 pt
Market cap (W tn)	39.84
Shares outstanding ('000)	89,821
52-wk high/low (W)	768,000 / 288,000
Avg trading (90-d, W bn)	280.288
Foreign ownership	37.7%
Dividend yield(26.12E)	1.5%
BPS(26.12E, W)	582,925
Relative perf. vs. KOSPI	1M -8.1%
	6M -21.5%
	12M -71.7%

Shareholders

Kia (& 9 others)	33.0%
NPS (& 1 other)	9.6%
Mirae Asset Global Inv. (& 10 others)	5.4%

PRICE PERFORMANCE



Earnings and valuation metrics

	Revenue	OP	PTP	Net Profit	EPS	Growth	EBITDA	P/E	EV/EBITDA	P/B	ROE
(W bn)					(W)	(%)		(x)	(x)	(x)	(%)
2024	57,237	3,073	5,264	4,060	44,818	18.7	4,058	5.3	5.1	0.5	9.4
2025	61,118	3,357	5,115	3,665	40,995	-8.5	4,525	9.1	7.2	0.7	7.7
2026E	63,995	3,746	5,721	4,218	47,226	15.2	5,121	9.6	7.6	0.8	8.3
2027E	67,733	4,137	6,220	4,541	50,843	7.7	5,699	8.9	6.5	0.7	8.3
2028E	70,822	4,414	6,645	4,851	54,311	6.8	6,144	8.4	5.7	0.7	8.2

Source: Company data, LS Securities; Under consolidated K-IFRS

LS Securities Research 1

Hyundai Mobis: Earnings and forecasts

(W bn)	2025	2026E	2027E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	61,118	63,995	67,733	14,752	15,936	15,032	15,398	15,561	16,325	15,863	16,247
Growth (% YoY)	6.8	4.7	5.8	6.4	8.7	7.4	4.7	5.5	2.4	5.5	5.5
Growth (% QoQ)				0.3	8.0	-5.7	2.4	1.1	4.9	-2.8	2.4
Parts/Module	47,800	49,949	52,679	11,474	12,607	11,675	12,044	12,042	12,894	12,322	12,692
Growth (% YoY)	5.9	4.5	5.5	4.9	7.8	6.7	4.0	4.9	2.3	5.5	5.4
Growth (% QoQ)				-0.9	9.9	-7.4	3.2	-0.0	7.1	-4.4	3.0
Electrification	5,355	5,994	7,077	1,190	1,600	1,310	1,255	1,287	1,419	1,674	1,613
Parts mfg	14,213	15,003	15,473	3,485	3,603	3,517	3,608	3,605	3,954	3,690	3,754
Module assemb	28,232	28,953	30,129	6,799	7,403	6,849	7,181	7,149	7,521	6,957	7,325
AS	13,318	14,046	15,054	3,278	3,330	3,357	3,354	3,519	3,430	3,542	3,555
Growth (% YoY)	10.2	5.5	7.2	11.8	12.3	9.7	7.2	7.4	3.0	5.5	6.0
Growth (% QoQ)				4.8	1.6	0.8	-0.1	4.9	-2.5	3.2	0.4
OP	3,358	3,746	4,137	777	870	780	931	803	975	883	1,085
OPM (%)	5.5	5.9	6.1	5.3	5.5	5.2	6.0	5.2	6.0	5.6	6.7
Growth (% YoY)	9.2	11.6	10.4	43.1	36.8	-14.1	-5.6	3.3	12.1	13.2	16.6
Growth (% QoQ)				-21.2	12.0	-10.3	19.2	-13.7	21.5	-9.5	22.9
Parts/Module	76	2	269	-100	42	-37	171	-121	22	-56	157
OPM (%)	0.2	0.0	0.75	-0.9	0.3	-0.3	1.4	-1.0	0.2	-0.5	1.2
Growth (% YoY)	L→P	-97.0	11,628.1	L→L	L→P	P→L	-2.0	L→L	-48.1	L→L	-7.7
Growth (% QoQ)				P→L	L→P	P→L	L→P	P→L	L→P	P→L	L→P
AS	3,282	3,744	3,869	877	828	817	760	924	953	939	928
OPM (%)	24.6	26.7	25.7	26.7	24.9	24.3	22.7	26.3	27.8	26.5	26.1
Growth (% YoY)	5.3	14.1	3.3	20.4	8.9	0.2	-6.4	5.4	15.1	14.8	22.1
Growth (% QoQ)				7.9	-5.5	-1.3	-7.0	21.6	3.2	-1.6	-1.1
Pre-tax profit	5,115	5,721	6,220	1,471	1,345	1,261	1,038	1,292	1,355	1,525	1,549
Growth (% YoY)	-2.8	11.8	8.7	20.3	-4.7	-3.5	-21.5	-12.2	0.7	20.9	49.2
Growth (% QoQ)				11.2	-8.5	-6.3	-17.7	24.5	4.9	12.6	1.6
Net profit (attr.)	3,656	4,211	4,534	1,031	932	929	763	882	1,059	1,127	1,145
NPM (%)	6.0	6.6	6.7	7.0	5.9	6.2	5.0	5.7	6.5	7.1	7.0
Growth (% YoY)	-9.9	15.2	7.7	19.7	-6.4	1.1	-40.3	-14.5	13.5	21.2	50.0
Growth (% QoQ)				-19.4	-9.6	-0.3	-17.9	15.6	20.1	6.4	1.6

Source: Company data, LS Securities

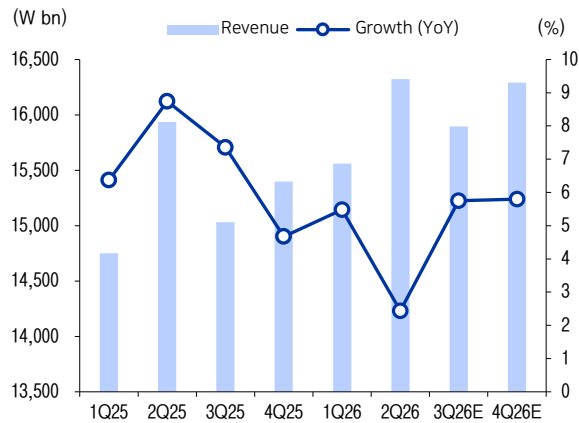
Hyundai Mobis: Actuator revenue estimates

Atlas production (units)	1,000	5,000	10,000	20,000	30,000
Revenue, \$800 ASP assumed (W bn)	34.7	173.6	347.2	694.4	1,041.6
Revenue, \$1100 ASP assumed (W bn)	47.7	238.7	477.4	954.8	1,432.2

Source: Company data, LS Securities

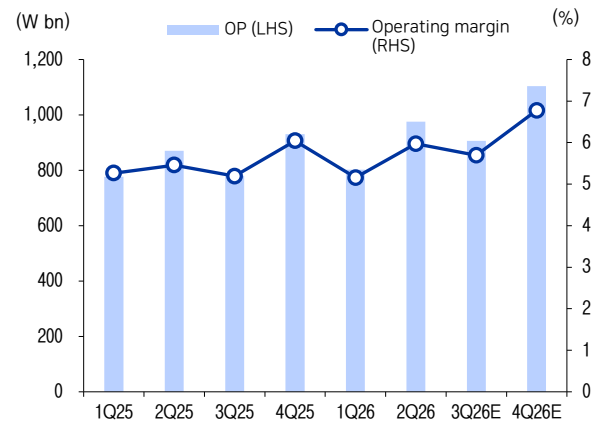
Note: FX rate assumed at 1,400KRW/USD

Hyundai Mobis: Revenue



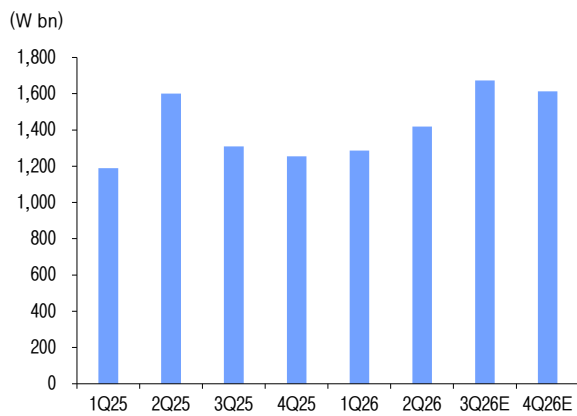
Source: Company data, LS Securities

Hyundai Mobis: OP



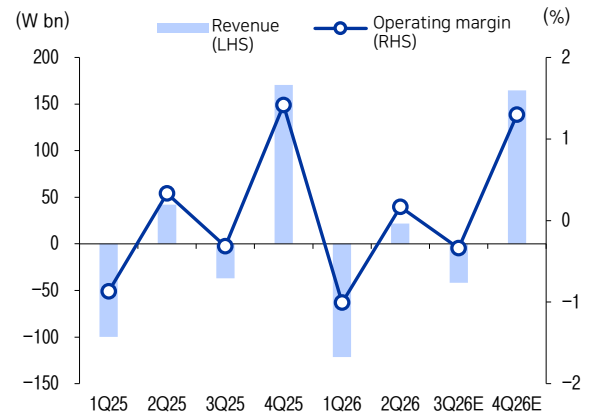
Source: Company data, LS Securities

Hyundai Mobis: Revenue (Electrification)



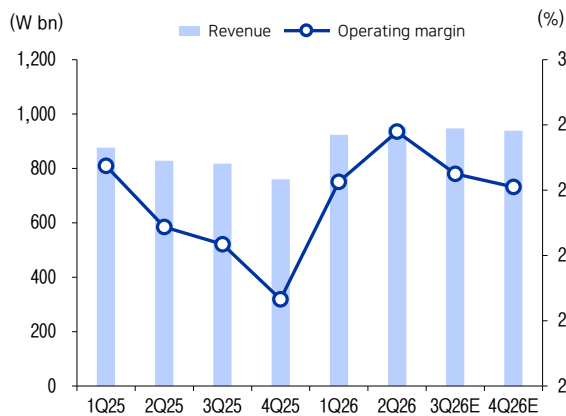
Source: Company data, LS Securities

Hyundai Mobis: Revenue (Parts/module)



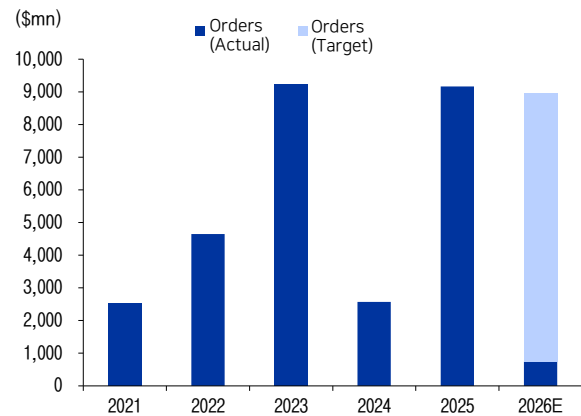
Source: Company data, LS Securities

Hyundai Mobis: AS



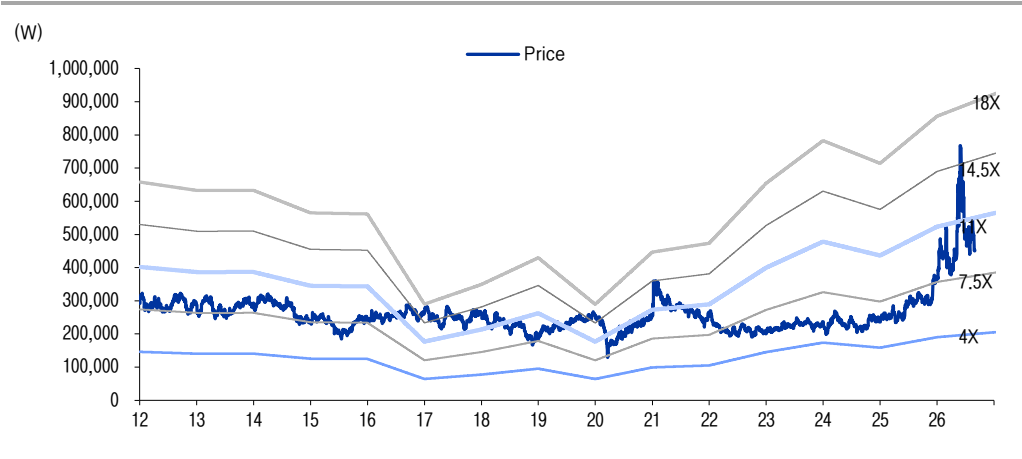
Source: Company data, LS Securities

Hyundai Mobis: Non-captive orders



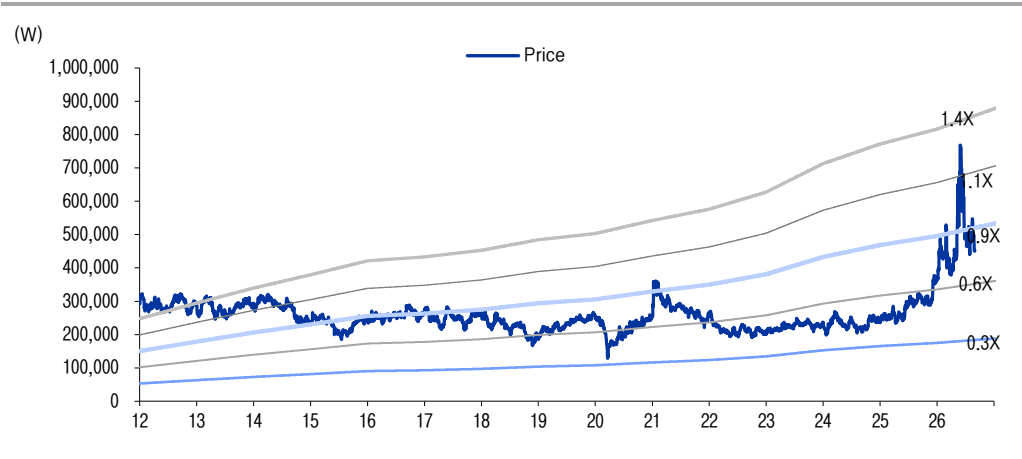
Source: Company data, LS Securities

Hyundai Mobis: 12M fwd P/E band chart



Source: LS Securities

Hyundai Mobis: 12M fwd P/B band chart



Source: LS Securities

Hyundai Mobis (012330)

Balance Sheet

(W bn)	2024	2025	2026E	2027E	2028E
Current assets	28,424	30,366	33,131	36,187	39,430
Cash & equivalents	4,788	4,922	5,867	7,436	9,392
Accounts receivable	10,396	10,931	12,093	12,822	13,417
Inventories	6,763	6,862	7,272	7,710	8,068
Other current assets	6,477	7,651	7,899	8,220	8,554
Non-current assets	38,173	40,034	43,050	44,882	46,693
Investment assets	23,435	24,787	26,515	27,592	28,712
Tangible assets	12,003	12,347	13,379	14,019	14,640
Intangible assets	1,167	1,266	1,329	1,369	1,362
Total assets	66,597	70,401	76,181	81,069	86,123
Current liabilities	12,745	13,058	14,276	15,006	15,628
Accounts payable other	8,888	9,172	10,330	10,953	11,461
Short-term financial debt	1,217	1,307	1,145	1,139	1,134
Other current liabilities	2,640	2,579	2,801	2,914	3,033
Non-current liabilities	7,733	8,130	8,965	9,213	9,471
Long-term financial debt	2,337	2,361	2,660	2,654	2,649
Other non-current liabilities	5,396	5,768	6,306	6,559	6,823
Total liabilities	20,479	21,188	23,241	24,220	25,099
Owners of parent equity	46,081	49,168	52,893	56,802	60,977
Capital stock	491	491	491	491	491
Capital surplus	1,367	1,377	1,378	1,378	1,378
Retained earnings	42,911	45,225	48,948	52,858	57,032
Non-controlling interests' equity	37	45	47	47	47
Total equity	46,118	49,213	52,940	56,849	61,024

Cash flow statement

(W bn)	2024	2025	2026E	2027E	2028E
Cash flow from operations	4,253	4,473	2,999	3,847	4,266
Net profit	4,060	3,665	4,218	4,541	4,851
Non-cash income & expense	625	1,841	-600	57	75
Depreciation	903	1,065	1,250	1,394	1,506
Amortization	82	102	125	167	224
Other	-360	674	-5,847	-5,342	-5,809
Changes in A/L from oper.	-822	-708	-424	-751	-660
Chg in accounts	335	-281	-560	-728	-595
Chg in inventories	-1,057	39	-175	-438	-358
Chg in accounts payable	-254	-111	537	622	508
Chg in others	155	-355	-227	-207	-215
Cash flow from investments	-4,589	-3,234	-1,946	-1,643	-1,631
Chg in tangible assets	-2,088	-1,281	-2,179	-2,034	-2,127
Chg in intangible assets	-157	-163	-173	-208	-216
Chg in invested assets	-2,615	-1,770	453	673	790
Others	271	-20	-46	-74	-77
Cash flow from financing	-255	-1,205	-294	-635	-679
Chg in debt	314	-207	-160	-11	-11
Chg in equity	-569	-998	-714	-624	-669
Dividends	406	583	-714	-624	-669
Others	0	0	580	0	0
Chg in cash	-291	134	944	1,569	1,956
Cash at beginning of year	5,079	4,788	4,922	5,867	7,436
Cash at end of year	4,788	4,922	5,867	7,436	9,392

Source: Company data, LS Securities

Income statement

(W bn)	2024	2025	2026E	2027E	2028E
Revenue	57,237	61,118	63,995	67,733	70,822
Cost of goods sold	49,174	52,288	54,568	57,793	60,469
Gross profit	8,063	8,830	9,427	9,940	10,353
SG&A expenses	4,989	5,472	5,681	5,802	5,939
Operating profit	3,073	3,357	3,746	4,137	4,414
(EBITDA)	4,058	4,525	5,121	5,699	6,144
Financial profit	436	285	369	349	333
Interest expense	129	177	162	154	142
Investment profit	1,788	1,400	1,681	1,750	1,910
Other non-operating profit	-33	73	-75	-16	-13
Pre-tax profit	5,264	5,115	5,721	6,220	6,645
Taxes	1,204	1,450	1,503	1,680	1,794
Profit from continuing oper.	4,060	3,665	4,218	4,541	4,851
Profit from discontinued oper.	0	0	0	0	0
Net Profit	4,060	3,665	4,218	4,541	4,851
Controlling interests	4,056	3,656	4,211	4,534	4,843
Total comprehensive profit	6,132	4,212	4,218	4,541	4,851
Gross margin (%)	14.1	14.4	14.7	14.7	14.6
Operating margin (%)	5.4	5.5	5.9	6.1	6.2
EBITDA margin (%)	7.1	7.4	8.0	8.4	8.7
Net margin (%)	7.1	6.0	6.6	6.7	6.8
ROA (%)	6.5	5.3	5.7	5.8	5.8
ROE (%)	9.4	7.7	8.3	8.3	8.2
ROIC (%)	11.9	10.8	11.6	12.1	12.3

Key valuation metrics/ratio

	2024	2025	2026E	2027E	2028E
Valuations (x)					
P/E	5.3	9.1	9.6	8.9	8.4
P/B	0.5	0.7	0.8	0.7	0.7
EV/EBITDA	5.1	7.2	7.6	6.5	5.7
P/CF	4.7	6.1	11.4	8.9	8.4
Dividend yield (%)	2.5	1.7	1.5	1.7	1.9
Growth (%)					
Revenue	-3.4	6.8	4.7	5.8	4.6
Operating profit	33.9	9.2	11.6	10.4	6.7
Pre-tax profit	18.4	-2.8	11.8	8.7	6.8
Net Profit	18.6	-9.7	15.1	7.7	6.8
EPS	18.7	-8.5	15.2	7.7	6.8
Stability (%)					
Debt to equity	44.4	43.1	43.9	42.6	41.1
Curr. assets to curr. debt	223.0	232.6	232.1	241.1	252.3
Net debt to equity	-2.7	-2.6	-3.9	-6.4	-9.2
OP to financial expense	23.8	19.0	23.1	26.9	31.1
Total debt (W bn)	3,554	3,668	3,804	3,794	3,783
Net debt (W bn)	-1,236	-1,256	-2,065	-3,645	-5,612
Per share data (W)					
EPS	44,818	40,995	47,226	50,843	54,311
BPS	495,499	541,872	582,925	626,014	672,020
CFPS	50,376	60,683	39,871	50,676	54,291
DPS	6,000	6,500	7,000	7,500	8,500

Hyundai Motor (005380)

2 September 2026

Auto / Robotics

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Atlas enhances factory competitiveness

RMAC-driven data flywheel

Hyundai Motor Group has begun RMAC operations in the US and plans 10x expansion by year-end. RMAC replicates factory environments to train Atlas, validate success rates, stability, and cycle times. Task and failure data feed into RMAC's learning system, with improved models redeployed to production lines, forming a flywheel.

By 2028, Hyundai targets annual capacity of 30k robots in the US, starting with Atlas in HMGMA's sequencing process, expanding to assembly from 2030. The group can accumulate manufacturing data that other robot OEMs struggle to secure. Longer term, leveraging dealer networks for robot sales and Hyundai Capital for financing is under review. Robotics could extend beyond cost reduction into sales and financial services.

OP improvement over robot revenue

Economic value lies in factory adoption rather than Atlas sales. Assuming global average labor cost of W80mn-W100mn per employee, sustainable annual savings are W2.0tn-W2.8tn. Savings per vehicle amount to W500k-W700k. Once depreciation ends and robots continue without incremental investment, annual savings could expand to W2.8tn-W3.6tn.

Maintain Buy, lower TP to W650,000

Hyundai is positioned to secure the largest profit gains through productivity improvements over the medium to long term. As RMAC expansion, US robot facilities, and broader HMGMA applications are confirmed, valuation re-rating from legacy OEM to Physical AI company becomes likely. However, reflecting KRW appreciation, earnings estimates for 2026-2027 have been revised downward, leading to a TP cut to W650,000.

Buy (maintain)

Target Price (▼)	₩ 650,000
Current Price	₩ 400,500
Upside	62.3 %

RELATIVE TO CONSENSUS

Above	In-line	Below

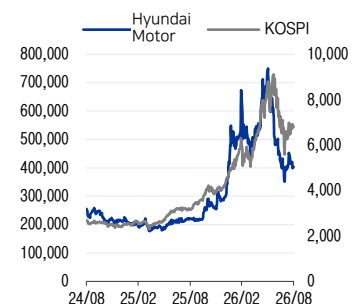
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Market cap (W tn)	82.05
Shares outstanding ('000)	204,758
52-wk high/low (W)	750,000 / 214,000
Avg trading (90-d, W bn)	509
Foreign ownership	24.4%
Dividend yield(26.12E)	3.1%
BPS(26.12E, W)	461,682
Relative perf. vs. KOSPI	1M 0.6%
	6M -49.4%
	12M -30.7%

Shareholders

Hyundai Mobis (& 10 others)	30.7%
NPS (& 1 other)	7.3%
Hyundai Motor ESOP (& 1 other)	2.6%

PRICE PERFORMANCE



Earnings and valuation metrics

	Revenue	OP	PTP	Net Profit	EPS	Growth	EBITDA	P/E	EV/EBITDA	P/B	ROE
(W bn)					(W)	(%)		(x)	(x)	(x)	(%)
2024	175,231	14,240	17,781	13,230	57,664	4.2	18,527	3.7	9.9	0.5	12.4
2025	186,254	11,468	13,842	10,365	43,585	-24.4	16,484	6.8	13.7	0.7	8.4
2026E	192,874	10,917	14,102	10,966	46,777	7.3	16,444	8.6	16.0	0.9	8.2
2027E	205,194	12,044	14,938	11,833	52,710	12.7	18,706	7.7	14.5	0.8	8.7
2028E	217,601	12,303	15,453	12,241	54,576	3.5	19,766	7.4	14.2	0.8	8.4

Source: Company data, LS Securities; Under consolidated K-IFRS

LS Securities Research 1

Hyundai Motor: Earnings and forecasts

(W bn)	2025	2026E	2027E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26P	3Q26E	4Q26E
Revenue	186,255	192,874	205,194	44,408	48,287	46,721	46,839	45,939	49,215	49,100	48,620
Growth (% YoY)	6.3%	3.6%	6.4%	9.2%	7.3%	8.8%	0.5%	3.4%	1.9%	5.1%	3.8%
Growth (% QoQ)				-4.8%	8.7%	-3.2%	0.3%	-1.9%	7.1%	-0.2%	-1.0%
Auto	145,053	147,140	156,659	34,718	37,030	36,715	36,590	34,539	36,832	38,058	37,712
Growth (% YoY)	6.1%	1.4%	6.5%	9.5%	5.1%	7.9%	2.3%	-0.5%	-0.5%	3.7%	3.1%
Growth (% QoQ)				-2.9%	6.7%	-0.9%	-0.3%	-5.6%	6.6%	3.3%	-0.9%
Finance	30,288	34,333	36,564	7,398	8,269	7,189	7,432	8,991	9,504	7,915	7,923
Growth (% YoY)	6.5%	13.4%	6.5%	11.1%	16.4%	10.7%	-9.2%	21.5%	14.9%	10.1%	6.6%
Growth (% QoQ)				-9.6%	11.8%	-13.1%	3.4%	21.0%	5.7%	-16.7%	0.1%
Other	10,914	11,401	11,971	2,292	2,988	2,817	2,817	2,409	2,879	3,127	2,986
OP	11,468	10,917	12,044	3,634	3,602	2,537	1,695	2,515	2,851	3,166	2,385
OPM	6.2%	5.7%	5.9%	8.2%	7.5%	5.4%	3.6%	5.5%	5.8%	6.4%	4.9%
Growth (% YoY)	-19.5%	-4.8%	10.3%	2.2%	-15.8%	-29.2%	-39.9%	-30.8%	-20.8%	24.8%	40.7%
Growth (% QoQ)				28.8%	-0.9%	-29.6%	-33.2%	48.4%	13.4%	11.1%	-24.7%
Auto	8,471	7,873	8,676	2,859	2,692	1,711	1,209	1,788	1,971	2,359	1,754
OPM	5.8%	5.4%	5.5%	8.2%	7.3%	4.7%	3.3%	5.2%	5.4%	6.2%	4.7%
Growth (% YoY)	-25.8%	-7.1%	10.2%	-1.4%	-21.5%	-40.6%	-45.2%	-37.5%	-26.8%	37.9%	45.1%
Growth (% QoQ)				29.7%	-5.8%	-36.4%	-29.3%	47.9%	10.2%	19.7%	-25.6%
Finance	2,164	2,322	2,469	571	653	576	364	579	759	550	434
OPM	7.1%	6.8%	6.8%	7.7%	7.9%	8.0%	4.9%	6.4%	8.0%	6.9%	5.5%
Growth (% YoY)	20.6%	7.3%	6.3%	34.4%	16.4%	32.4%	-2.7%	1.4%	16.2%	-4.5%	19.2%
Growth (% QoQ)				52.7%	14.4%	-11.8%	-36.8%	59.1%	31.1%	-27.5%	-21.1%
Other	833	722	899	204	257	250	122	148	121	257	197
OPM	7.6%	6.3%	7.5%	8.9%	8.6%	8.9%	4.3%	6.1%	4.2%	8.2%	6.6%
Pre-tax profit	13,842	14,102	14,938	4,465	4,385	3,326	1,666	3,522	3,646	3,872	3,062
Growth (% YoY)	-22.2%	1.9%	5.9%	-5.6%	-21.2%	-23.9%	-46.6%	-21.1%	-16.9%	16.4%	83.8%
Growth (% QoQ)				43.1%	-1.8%	-24.2%	-49.9%	111.4%	3.5%	6.2%	-20.9%
Net profit (attr.)	9,446	9,800	11,005	3,157	2,998	2,261	1,029	2,335	2,521	2,761	2,183
NPM	5.1%	5.1%	5.4%	7.1%	6.2%	4.8%	2.2%	5.1%	5.1%	5.6%	4.5%
Growth (% YoY)	-24.6%	3.7%	12.3%	-2.3%	-24.5%	-25.7%	-54.9%	-26.0%	-15.9%	22.1%	112.2%
Growth (% QoQ)				38.5%	-5.0%	-24.6%	-54.5%	126.9%	7.9%	9.5%	-20.9%
Sales volume*	4,054	4,008	4,038	971	1,035	1,006	1,042	949	972	1,026	1,061
Growth (% YoY)	1.0%	-1.1%	0.7%	1.3%	1.3%	1.6%	0.0%	-2.3%	-6.1%	2.0%	1.8%
KRW/USD	1,422	1,448	1,400	1,452	1,399	1,387	1,449	1,466	1,502	1,426	1,400

Source: Company data, LS Securities

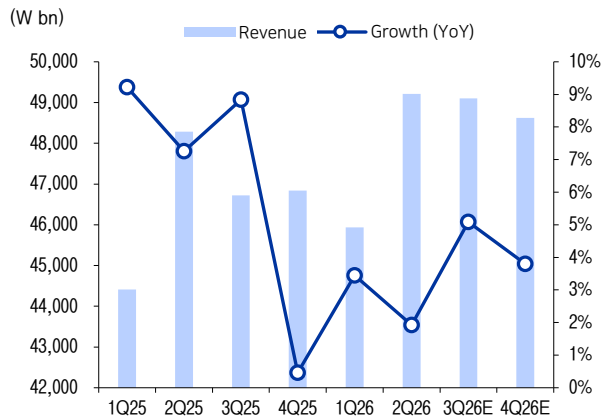
*Sales volume excludes China

Hyundai Motor: Earnings forecast revision

(W bn)	Revised		Previous		Change	
	2026E	2027E	2026E	2027E	2026E	2027E
Revenue	192,874	205,194	195,254	211,991	-1.2%	-3.2%
OP	10,917	12,044	11,217	12,954	-2.7%	-7.0%
Pre-tax profit	14,102	14,938	14,402	15,848	-2.1%	-5.7%
Net profit	9,800	11,005	10,014	11,675	-2.1%	-5.7%

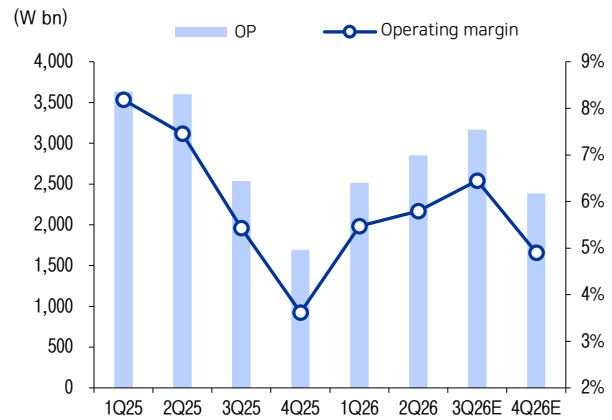
Source: Company data, LS Securities

Hyundai Motor: Revenue



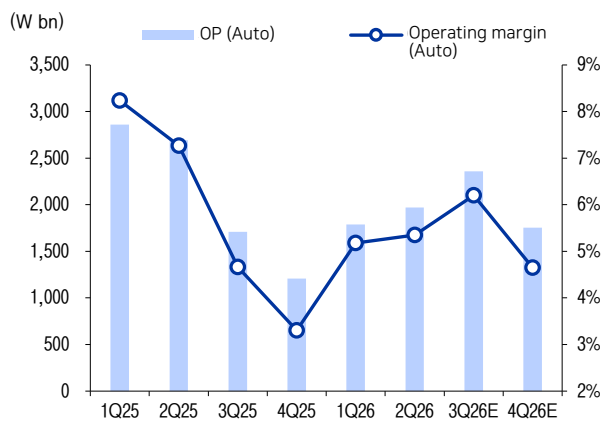
Source: Company data, LS Securities

Hyundai Motor: OP



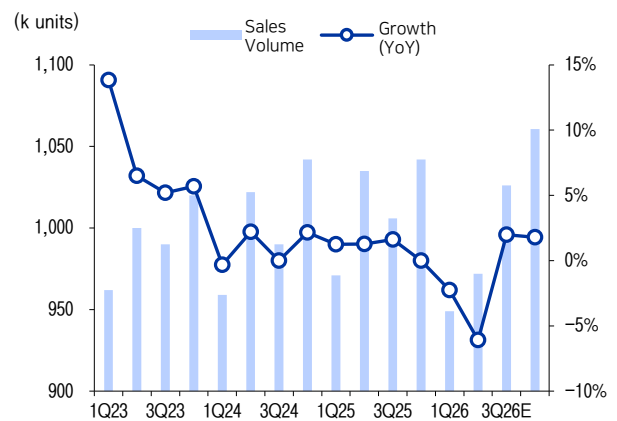
Source: Company data, LS Securities

Hyundai Motor: OP (Auto)



Source: Company data, LS Securities

Hyundai Motor: Auto sales volume



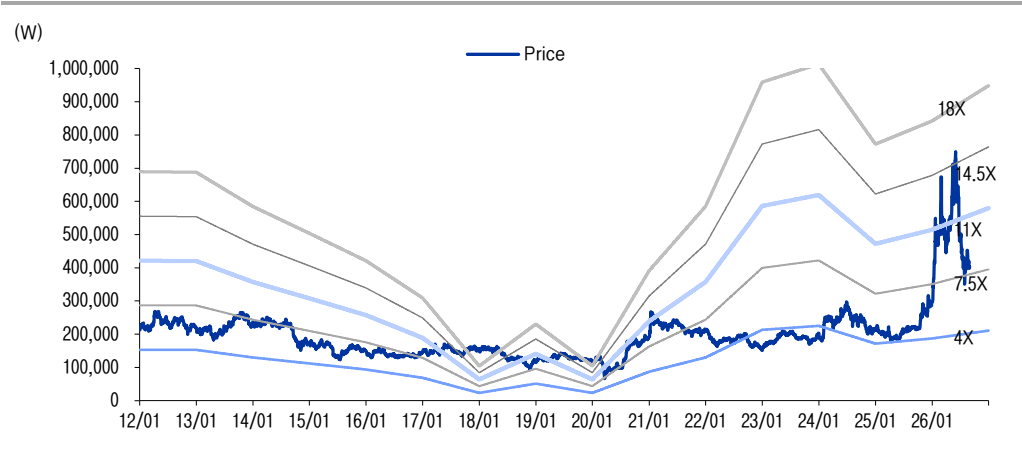
Source: Company data, LS Securities

Hyundai Motor: Target price calculation

(W, x)	
12M Fwd EPS	50,022
Target P/E	× 13.0
25% discount to peer group avg (smart/AI EV developers incl Xiaomi, Li Auto)	
Target Price	650,000
Current Price	400,500
Upside (%)	62.3

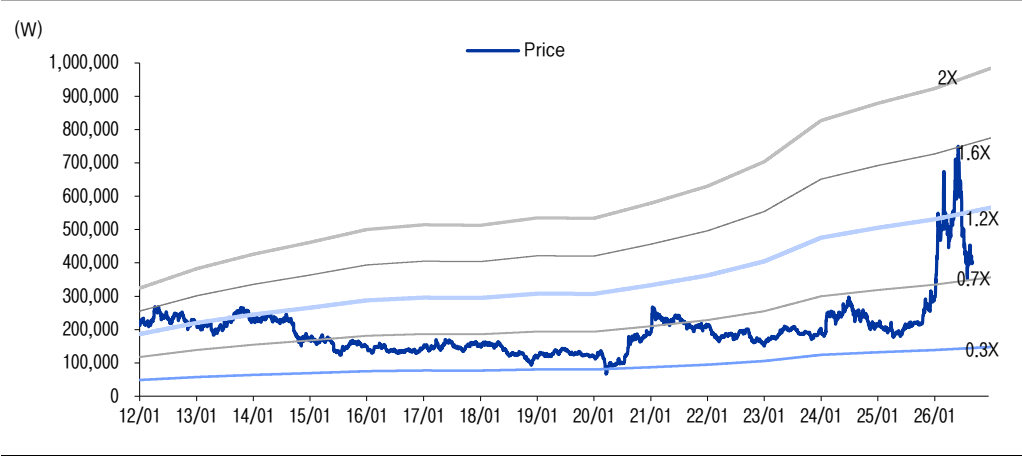
Source: LS Securities

Hyundai Motor: 12M fwd P/E band chart



Source: LS Securities

Hyundai Motor 12M fwd P/B band chart



Source: LS Securities

Hyundai Motor (005380)

Balance Sheet

(W bn)	2024	2025	2026E	2027E	2028E
Current assets	115,764	120,777	122,815	122,546	122,406
Cash & equivalents	19,015	18,361	24,846	19,639	14,473
Accounts receivable	10,320	13,886	13,191	14,084	14,972
Inventories	19,791	20,662	22,265	23,773	25,270
Other current assets	66,638	67,869	62,512	65,050	67,692
Non-current assets	224,034	248,067	273,682	289,954	306,514
Investment assets	116,639	123,220	132,089	137,452	143,033
Tangible assets	44,534	48,750	52,677	57,695	62,545
Intangible assets	7,683	9,268	11,422	14,166	17,021
Total assets	339,798	368,845	396,498	412,500	428,920
Current liabilities	79,510	88,579	96,595	99,599	102,608
Accounts payable other	30,057	32,426	32,151	34,328	36,490
Short-term financial debt	36,641	44,598	51,893	52,211	52,527
Other current liabilities	12,811	11,555	12,551	13,061	13,591
Non-current liabilities	140,013	152,617	164,288	169,119	173,985
Long-term financial debt	121,487	132,172	140,877	144,784	148,688
Other non-current liabilities	18,525	20,446	23,411	24,335	25,297
Total liabilities	219,522	241,197	260,883	268,718	276,593
Owners of parent equity	109,103	115,447	122,526	130,693	139,239
Capital stock	1,489	1,489	1,489	1,489	1,489
Capital surplus	7,656	7,780	7,773	7,773	7,773
Retained earnings	96,596	101,312	108,785	116,952	125,498
Non-controlling interests' equity	11,173	12,202	13,088	13,088	13,088
Total equity	120,276	127,648	135,614	143,781	152,327

Cash flow statement

(W bn)	2024	2025	2026E	2027E	2028E
Cash flow from operations	-5,662	-5,991	18,393	13,707	14,598
Net profit	13,230	10,365	10,966	11,833	12,241
Non-cash income & expense	23,950	25,920	11,437	3,864	4,418
Depreciation	3,398	3,745	4,164	5,019	5,753
Amortization	889	1,272	1,363	1,643	1,710
Other	19,663	20,904	-947	-11,775	-12,375
Changes in A/L from oper.	-35,160	-34,325	-722	-1,991	-2,061
Chg in accounts	-590	-2,548	2,064	-893	-887
Chg in inventories	-1,159	-466	-482	-1,507	-1,498
Chg in accounts payable	834	-370	-1,585	2,176	2,162
Chg in others	-34,244	-30,941	-719	-1,767	-1,839
Cash flow from investments	-14,623	-10,347	-15,614	-20,301	-21,146
Chg in tangible assets	-7,890	-8,121	-8,330	-10,037	-10,603
Chg in intangible assets	-2,180	-2,674	-3,255	-4,387	-4,565
Chg in invested assets	-2,955	1,229	-1,921	-2,731	-2,703
Others	-1,599	-782	-2,108	-3,147	-3,274
Cash flow from financing	19,493	15,425	3,231	1,387	1,382
Chg in debt	19,041	19,718	5,793	4,225	4,220
Chg in equity	-4,145	-4,394	-4,541	-2,838	-2,838
Dividends	3,913	3,689	-4,142	-2,838	-2,838
Others	4,598	101	1,978	0	0
Chg in cash	-152	-654	6,486	-5,208	-5,166
Cash at beginning of year	19,167	19,015	18,361	24,846	19,639
Cash at end of year	19,015	18,361	24,846	19,639	14,473

Source: Company data, LS Securities

Income statement

(W bn)	2024	2025	2026E	2027E	2028E
Revenue	175,231	186,254	192,874	205,194	217,601
Cost of goods sold	139,482	152,038	158,510	167,976	178,769
Gross profit	35,749	34,217	34,364	37,218	38,833
SG&A expenses	21,510	22,749	23,447	25,174	26,530
Operating profit	14,240	11,468	10,917	12,044	12,303
(EBITDA)	18,527	16,484	16,444	18,706	19,766
Financial profit	912	414	1,064	1,116	1,114
Interest expense	451	572	704	746	762
Investment profit	3,114	2,510	2,703	2,894	3,150
Other non-operating profit	-485	-550	-582	-1,116	-1,114
Pre-tax profit	17,781	13,842	14,102	14,938	15,453
Taxes	4,232	3,477	3,136	3,105	3,212
Profit from continuing oper.	13,549	10,365	10,966	11,833	12,241
Profit from discontinued oper.	-319	0	0	0	0
Net Profit	13,230	10,365	10,966	11,833	12,241
Controlling interests	12,527	9,446	9,800	11,005	11,384
Total comprehensive profit	18,282	11,392	10,966	11,833	12,241
Gross margin (%)	20.4	18.4	17.8	18.1	17.8
Operating margin (%)	8.1	6.2	5.7	5.9	5.7
EBITDA margin (%)	10.6	8.9	8.5	9.1	9.1
Net margin (%)	7.5	5.6	5.7	5.8	5.6
ROA (%)	4.0	2.7	2.6	2.7	2.7
ROE (%)	12.4	8.4	8.2	8.7	8.4
ROIC (%)	11.1	5.9	5.3	5.6	5.3

Key valuation metrics/ratio

	2024	2025	2026E	2027E	2028E
Valuations (x)					
P/E	3.7	6.8	8.6	7.7	7.4
P/B	0.5	0.7	0.9	0.8	0.8
EV/EBITDA	9.9	13.7	16.0	14.5	14.2
P/CF	1.5	2.2	4.8	6.8	6.4
Dividend yield (%)	5.7	3.4	3.1	3.1	3.1
Growth (%)					
Revenue	7.7	6.3	3.6	6.4	6.0
Operating profit	-5.9	-19.5	-4.8	10.3	2.1
Pre-tax profit	0.9	-22.2	1.9	5.9	3.4
Net Profit	7.8	-21.7	5.8	7.9	3.4
EPS	4.2	-24.4	7.3	12.7	3.5
Stability (%)					
Debt to equity	182.5	189.0	192.4	186.9	181.6
Curr. assets to curr. debt	145.6	136.3	127.1	123.0	119.3
Net debt to equity	108.2	119.2	119.1	118.7	118.0
OP to financial expense	31.5	20.0	15.5	16.2	16.1
Total debt (W bn)	158,128	176,770	192,770	196,995	201,215
Net debt (W bn)	130,181	152,184	161,485	170,656	179,770
Per share data (W)					
EPS	57,664	43,585	46,777	52,710	54,576
BPS	401,961	435,007	461,682	492,455	524,657
CFPS	136,978	136,724	84,415	59,149	62,772
DPS	12,000	10,000	12,500	12,500	12,500

SBB Tech (389500)

2 September 2026

Auto / Robotics

Analyst Byeonggeun Lee
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Domestic leader in harmonic reducers

From semiconductor bearings to robot drive components

SBB Tech manufactures specialized semiconductor equipment bearings and precision robotics reducers. Its core edge lies in harmonic reducers - localized in Korea in 2013 - with internalized end-to-end technologies from gear design to forging, heat treatment, and evaluation. Priced at ~70% of Japanese peer HDS with lead times one-fourth as long, it pursues a 'premium cost-performance' strategy over competing on price with low-cost Chinese peers. Its semiconductor bearing business offers custom products like ultra-thin bearings, robo-bearings, and WRIST assemblies, with replacement demand tied to line utilization forming baseline revenue.

In 2025, revenue mix was 79% bearings and 20% reducers, but reducer share reached 31% in 1H26. As sales from MOBED DnL modules, defense, and humanoid reducers ramp up, robotics reducers should become the main growth driver from 2027.

Reducer utilization is key to turnaround

While harmonic capacity expanded from 12k units in 2021 to 50k in 2023, utilization remained under 10% as collaborative robot and automation demand lagged amid rising rates and weak CAPEX. Unabsorbed fixed costs held gross margin to 2.7% in 2023, 1.8% in 2024, and 5.6% in 2025. With annual R&D of W3bn-W4bn, 2025 SG&A reached W7.3bn - exceeding revenue of W7.2bn - yielding an OP loss of W6.9bn.

Annual capacity totals 70k units (50k harmonic, 20k planetary). Assuming a harmonic ASP of W450,000, 2025 volume was ~3,300 units (6-7% utilization). However, 2026 reducer revenue should hit ~W5bn on humanoid, defense, and MOBED contributions. With line CAPEX complete, higher utilization will drive operating leverage without added CAPEX. Break-even requires revenue of W16bn-W17bn.

Not Rated

Target Price	Not Rated
Current Price	₩ 37,200
Upside	-

RELATIVE TO CONSENSUS

Above	In-line	Below

SHARE PROFILE

KOSDAQ (01-Sep)	821.25 pt
Market cap (₩ tn)	247.881
Shares outstanding ('000)	6,663
52-wk high/low (₩)	106,400 / 20,200
Avg trading (90-d, ₩ bn)	5.57
Foreign ownership	3.9%
Dividend yield(26.12E)	0.0%
BPS(26.12E, ₩)	1,974
Relative perf. vs. KOSDAQ	1M 9.1%
	6M -8.6%
	12M 14.8%

Shareholders

KPF (& 5 others)	42.3%
Jung-ho Lee (& 1 other)	0.1%
Sang-gyu Jung (& 1 other)	0.1%

PRICE PERFORMANCE



Earnings and valuation metrics

	Revenue	OP	PTP	Net Profit	EPS	Growth	EBITDA	P/E	EV/EBITDA	P/B	ROE
(₩ bn)					(₩)	(%)		(x)	(x)	(x)	(%)
2024	6.8	-2.2	-2.8	-2.8	-600	L→L	-1.4	n/a	-2.8	n/a	-67.3
2025	7.5	-1.8	-5.3	-5.3	-883	L→L	-0.9	-19.5	-115.8	4.8	-36.7
2026E	5.1	-5.6	-11.0	-11.0	-1,847	L→L	-4.2	-20.5	-68.7	20.2	-65.4
2027E	5.5	-6.9	-0.8	-0.9	-150	L→L	-5.3	-252.3	-48.2	19.3	-7.6
2028E	7.2	-6.9	-9.5	-9.5	-1,493	L→L	-4.9	-25.4	-53.4	19.2	-76.7

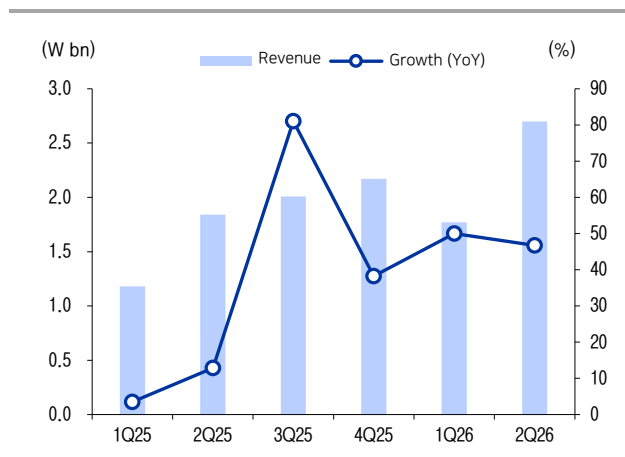
Source: Company data, LS Securities; Under consolidated K-IFRS

SBB Tech: Earnings and forecasts

(W bn)	2024	2025	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Revenue	5.5	7.2	1.2	1.8	2.0	2.2	1.8	2.7
Growth (YoY, %)	6.2	32.1	3.5	12.9	81.1	38.2	50.0	46.7
Growth (QoQ, %)			-24.8	55.9	9.2	8.0	-18.4	52.5
Reducer	1.8	1.5	0.2	0.5	0.4	0.4	0.1	1.3
Bearing	3.5	5.7	1.0	1.4	1.6	1.8	1.3	1.1
Other	0.1	0.0	-	-	-	-	0.4	0.3
OP	-6.9	-6.9	-1.9	-1.9	-2.1	-0.9	-1.9	-3.0
OPM (%)	-126.4	-95.4	-161.0	-104.9	-106.5	-41.5	-104.5	-109.3
Growth (YoY, %)	L→L	L→L	L→L	L→L	L→L	L→L	L→L	L→L
Growth (QoQ, %)			L→L	L→L	L→L	L→L	L→L	L→L
Net profit	-0.9	-9.5	-1.9	-2.2	-2.2	-3.3	-8.8	-3.2
Net margin (%)	-16.3	-131.4	-158.5	-117.9	-107.5	-150.2	-497.7	-119.6
Growth (YoY, %)	L→L	L→L	L→L	P→L	L→L	L→L	L→L	L→L
Growth (QoQ, %)			L→L	L→L	L→L	L→L	L→L	L→L

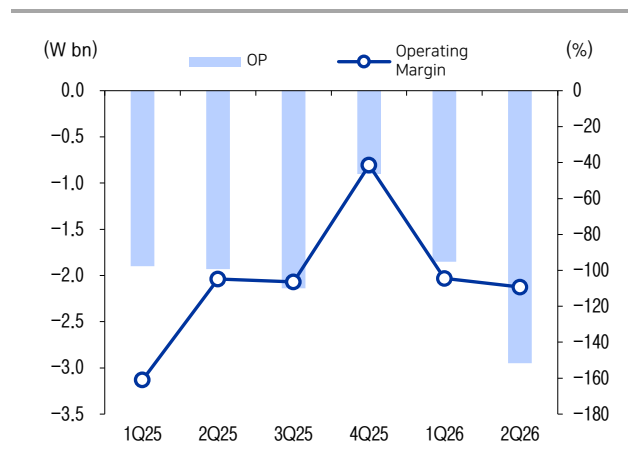
Source: Company data, LS Securities

SBB Tech: Revenue



Source: Company data, LS Securities

SBB Tech: OP



Source: Company data, LS Securities

SBB Tech (389500)

Balance Sheet

(W bn)	2021	2022	2023	2024	2025
Current assets	7.3	17.9	40.5	14.0	15.7
Cash & equivalents	3.6	13.8	2.2	2.1	9.3
Accounts receivable	1.0	1.4	0.8	1.4	1.4
Inventories	1.8	2.5	2.1	1.6	3.7
Other current assets	0.9	0.2	35.5	8.9	1.2
Non-current assets	10.3	12.9	14.0	14.9	16.6
Investment assets	0.0	0.0	0.0	0.0	0.0
Tangible assets	10.2	12.1	13.2	14.0	15.6
Intangible assets	0.0	0.0	0.0	0.2	0.2
Total assets	17.6	30.8	54.5	28.9	32.2
Current liabilities	6.3	7.4	41.7	16.0	18.9
Accounts payable other	1.2	1.2	0.8	0.8	1.3
Short-term financial debt	4.6	6.2	40.9	15.2	17.5
Other current liabilities	0.5	0.0	0.0	0.0	0.1
Non-current liabilities	4.7	1.2	1.2	0.7	0.8
Long-term financial debt	3.4	0.4	0.3	0.2	0.2
Other non-current liabilities	1.3	0.8	0.9	0.5	0.6
Total liabilities	11.0	8.7	42.9	16.8	19.7
Owners of parent equity	6.6	22.1	11.6	12.1	12.5
Capital stock	2.3	3.1	3.1	3.1	3.2
Capital surplus	13.2	32.9	32.9	32.9	43.5
Retained earnings	-11.7	-16.9	-27.9	-28.8	-38.3
Non-controlling interests' equity	0.0	0.0	0.0	0.0	0.0
Total equity	6.6	22.1	11.6	12.1	12.5

Income statement

(W bn)	2021	2022	2023	2024	2025
Revenue	6.8	7.5	5.1	5.5	7.2
Cost of goods sold	5.6	5.5	5.0	5.4	6.8
Gross profit	1.2	2.0	0.1	0.1	0.4
SG&A expenses	3.4	3.8	5.7	7.0	7.3
Operating profit	-2.2	-1.8	-5.6	-6.9	-6.9
(EBITDA)	-1.4	-0.9	-4.2	-5.3	-4.9
Financial profit	-0.6	-0.4	0.1	0.3	0.0
Interest expense	0.6	0.5	0.3	0.3	0.2
Investment profit	0.0	0.0	0.0	0.0	0.0
Other non-operating profit	0.0	-3.1	-5.5	5.8	-2.6
Pre-tax profit	-2.8	-5.3	-11.0	-0.8	-9.5
Taxes	0.0	0.0	0.0	0.1	0.0
Profit from continuing oper.	-2.8	-5.3	-11.0	-0.9	-9.5
Profit from discontinued oper.	0.0	0.0	0.0	0.0	0.0
Net Profit	-2.8	-5.3	-11.0	-0.9	-9.5
Controlling interests	-2.8	-5.3	-11.0	-0.9	-9.5
Total comprehensive profit	-2.8	-5.3	-11.0	-0.4	-9.5
Gross margin (%)	17.2	26.4	2.7	1.8	5.6
Operating margin (%)	-32.9	-24.6	-108.5	-126.1	-95.3
EBITDA margin (%)	-20.1	-11.4	-82.7	-97.7	-68.0
Net margin (%)	-41.5	-70.5	-214.5	-16.4	-131.3
ROA (%)	-17.3	-21.8	-25.8	-2.1	-30.9
ROE (%)	-67.3	-36.7	-65.4	-7.6	-76.7
ROIC (%)	-15.2	-10.5	-12.3	-14.8	-26.4

Cash flow statement

(W bn)	2021	2022	2023	2024	2025
Cash flow from operations	-1.7	-2.2	-3.2	-4.1	-7.1
Net profit	-2.8	-5.3	-11.0	-0.9	-9.5
Non-cash income & expense	1.5	5.2	8.0	-3.2	4.8
Depreciation	0.9	1.0	1.3	1.5	1.9
Amortization	0.0	0.0	0.0	0.0	0.1
Other	0.7	4.2	6.7	-4.8	2.9
Changes in A/L from oper.	-0.3	-1.8	-0.2	0.1	-2.5
Chg in accounts	0.1	-0.4	0.6	-0.4	-0.2
Chg in inventories	-0.7	-0.8	-0.2	0.3	-2.0
Chg in accounts payable	-0.1	-0.5	-0.4	0.1	0.5
Chg in others	0.4	-0.2	-0.2	0.1	-0.7
Cash flow from investments	-0.1	-2.4	-37.3	24.2	5.2
Chg in tangible assets	-1.2	-2.8	-2.3	-2.2	-3.3
Chg in intangible assets	0.0	0.0	0.0	-0.3	0.0
Chg in invested assets	0.0	0.6	-0.1	-0.6	8.6
Others	1.0	-0.3	-34.9	27.2	-0.1
Cash flow from financing	4.7	14.8	28.8	-20.2	9.1
Chg in debt	2.5	0.0	28.8	-20.2	-0.2
Chg in equity	2.2	14.8	0.0	0.0	9.4
Dividends	0.0	0.0	0.0	0.0	0.0
Others	0.0	0.0	0.0	0.0	0.0
Chg in cash	2.8	10.2	-11.6	0.0	7.2
Cash at beginning of year	0.8	3.6	13.8	2.2	2.1
Cash at end of year	3.6	13.8	2.2	2.1	9.3

Source: Company data, LS Securities

Key valuation metrics/ratio

	2021	2022	2023	2024	2025
Valuations (x)					
P/E	n/a	-19.5	-20.5	-252.3	-25.4
P/B	n/a	4.8	20.2	19.3	19.2
EV/EBITDA	-2.8	-115.8	-68.7	-48.2	-53.4
P/CF	n/a	n/a	n/a	n/a	n/a
Dividend yield (%)	n/a	n/a	n/a	n/a	n/a
Growth (%)					
Revenue	2.6	10.2	-31.3	6.5	31.7
Operating profit	L→L	L→L	L→L	L→L	L→L
Pre-tax profit	L→L	L→L	L→L	L→L	L→L
Net Profit	L→L	L→L	L→L	L→L	L→L
EPS	L→L	L→L	L→L	L→L	L→L
Stability (%)					
Debt to equity	167.3	39.4	369.7	138.0	157.8
Curr. assets to curr. debt	115.5	239.7	97.2	87.3	82.7
Net debt to equity	57.7	-32.7	335.9	38.0	67.1
OP to financial expense	-3.6	-3.6	-19.1	-26.6	-30.3
Total debt (W bn)	8	7	41	15	18
Net debt (W bn)	4	-7	39	5	8
Per share data (W)					
EPS	-600	-883	-1,847	-150	-1,493
BPS	14,061	3,574	1,880	1,967	1,974
CFPS	n/a	n/a	n/a	n/a	n/a
DPS	n/a	n/a	n/a	n/a	n/a

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	Rating guideline (6- to 12-month horizon)	Investment rating	Expected return (12-month horizon)	% of ratings	Note
Sector	Three sector investment ratings based on 6- to 12-month investment weighting of a given sector compared to its market capitalization weighting	Overweight Neutral Underweight			
Company	Three company investment ratings based on the expected absolute return of a stock over the next 6-12 months	Buy Hold Sell Total	+15% or more Between -15% & +15% -15% or less	90.3% 9.7%	Expected return has been revised from $\pm 20\%$ to $\pm 15\%$ since October 25, 2018
				100.0%	The percentage of ratings is based on the latest ratings of the companies within our coverage between July 1, 2025 and June 30, 2026 (renewed every quarter)